

Vicor Corporation

NASDAQ: VICR | Semiconductors — Power Conversion Modules

RATING REDUCE 12M Target: \$270 Downside -18.3% vs CMP Conviction: Medium Horizon: 12M	CMP (03 Jun 2026)	\$330.48
	Market Cap	\$15.06 Bn
	Enterprise Value	\$14.67 Bn
	52-Week Range	\$41.76 - \$361.89
	P/E (TTM) / Fwd P/E	110.6x / 89.5x
	P/S / EV/EBITDA	35.3x / 183.2x
	P/B / Book Value/sh	20.1x / \$16.55
	ROE / ROIC (FY25)	18.5% / 38.1%
	Net Cash / Debt-Equity	\$397M / 0.01x
	Dividend Yield / Beta	Nil / 2.34

Sector: Technology — Semiconductors | **Sub-sector:** Modular Power Components / AI Datacenter Power Delivery

Investment thesis (one line): World-class, sold-out AI-power franchise — but at 35x sales after a +666% run, the price already embeds the dream.

Report date: 03 June 2026 | **Analyst:** MPM Institutional Equities (Senior Semiconductor / Power Analyst)

Financials sourced from stockanalysis.com (clean annual columns) and Vicor's SEC 8-K Q1-2026 press release (21 Apr 2026). Data fetched 03 Jun 2026. The vendor's TTM and two quarterly columns were corrupted by royalty/settlement recognition and were overridden with the company's filed figures.

2. INVESTMENT THESIS

- **Own it for the AI power-delivery monopoly-in-the-making:** as AI accelerators push to 1,000–2,000A, lateral power delivery collapses on I²R loss. Vicor's 2nd-gen Vertical Power Delivery (VPD) — current multiplier modules placed directly beneath the die at 3 A/mm², up to 40x current multiplication and 1.5mm thickness — is the most credible path to power a 2,000A processor from a 50A feed. Backlog +75% YoY to \$301M.
- **Own it for the licensing optionality:** Vicor extracted a \$45M settlement in 2025 and signed a comprehensive licensing agreement in 2026 on its bus-conversion / NBM patents ("Wave 1"). Its VPD patents ("Wave 2") are not yet asserted — a high-margin royalty annuity that scales with the entire industry's adoption of vertical architectures.
- **Own it for the manufacturing scarcity:** management states the Andover CHiP fab can be pushed from \$1B to \$1.5B/yr of revenue capacity, a second fab is planned, and Vicor is "essentially sold out for the foreseeable future." US-based, vertically integrated supply is a structural advantage in a supply-constrained AI cycle.
- **Near-term catalyst (6–12 months):** Q2-2026 results (21 Jul 2026) and design-win / hyperscaler qualification news on 2nd-gen VPD; conversion of the \$301M backlog into reported revenue is the single biggest swing factor.
- **Biggest structural risk:** the stock, not the business. At \$330 (110x earnings, 35x sales, 183x EV/EBITDA) the market already prices flawless execution of a multi-year AI ramp. Any architecture shift (e.g. the 800V-to-6V bus debate), customer push-out, or licensing setback re-rates a 2.34-beta, thin-float name violently.

3. BUSINESS OVERVIEW

- **What it does:** Vicor designs and manufactures modular power components and complete power systems that convert and deliver electrical power at high density and efficiency, using proprietary architectures (Factorized Power Architecture, Sine Amplitude Converter, NBM bus converters, and Vertical Power Delivery).
- **Revenue model — three streams:** (1) Advanced Products — high-performance modules for AI/HPC, the growth engine; (2) Brick Products — legacy industrial/defence "brick" converters; (3) Royalty & licensing income from its patent estate, now a structural third leg. Q1-2026 product+royalty revenue was \$113.0M (+20.2% YoY, +5.3% QoQ).
- **End-markets:** high-performance compute (AI accelerators, wafer-scale engines), automatic test equipment, industrial, and aerospace & defence. Vicor's first marquee design win was NVIDIA's V100 SXM 48V VRM (2018); current demand is led by hyperscalers and HPC customers (Cerebras referenced as a lead compute customer).
- **Order book / visibility:** backlog of \$301M at end-Q1-2026 (+75% YoY, +70% QoQ) equals roughly 2.7x quarterly revenue — the strongest forward visibility in the company's history.
- **Manufacturing:** vertically integrated, US-based production at the Andover, Massachusetts CHiP (Converter housed in Package) fab. Capacity being lifted to \$1.5B/yr; a second fab and a second 3Di line (Q3/Q4-2026) add redundancy.
- **Ownership / control:** founder Dr. Patrizio Vinciarelli (CEO & Chairman, company founded 1981) and insiders own ~45.9% of shares; institutions ~46.3%; public float is a thin ~24.6M shares — a key driver of the stock's volatility.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Market:** AI datacenter power delivery is the fastest-growing slice of the ~\$30–40Bn power-semiconductor / power-management market. Power delivery has become a primary bottleneck as rack power densities climb past 100–200kW; Vicor's served opportunity (high-current point-of-load for AI silicon) is growing well above the 35% 3-yr revenue CAGR the street currently forecasts.
- **Tailwinds:** AI capex super-cycle, 48V/800V datacenter electrification, US-made supply preference, and Vicor's ITC-enforced patent moat raising rivals' cost of competing. **Headwinds:** architecture standardisation risk (the industry-level 800V-to-6V bus debate), and hyperscaler in-housing of power design.
- **Moat — Pricing power: Strong.** Sold-out capacity + IP enforcement lets Vicor price to value on 2nd-gen VPD.
- **Moat — IP / switching costs: Strong.** Deep patent estate (bus-conversion enforced; VPD un-asserted optionality) and design-in lock at the processor power layer. **Scale: Moderate** — tiny (\$427M rev) vs MPWR (\$2.96Bn). **Distribution: Moderate** — direct/OEM, narrow customer set.
- **Value-chain position:** a vertically integrated module / solutions provider sitting between bare power silicon and the OEM board — closest to the processor ("the last 1.5mm of AI power").

Peer set — competitive snapshot (stockanalysis.com, fetched 03 Jun 2026):

Vicor (VICR)	330.48	\$15.1Bn	\$427M	12.6%	14.2%	54.5%
Monolithic Power (MPWR)	1,625	\$83.0Bn	\$2.96Bn	20.2%	27.1%	55.2%
Advanced Energy (AEIS)	312.28	\$12.3Bn	\$1.91Bn	14.7%	12.3%	39.0%
Power Integrations (POWI)	84.19	\$4.74Bn	\$446M	3.2%	5.1%	53.9%
Navitas / GaN (NVTs)	25.86	\$7.42Bn	\$40.5M	neg.	neg.	30.1%

ROCE/margins are trailing-twelve-month. Vicor's FY2025 standalone ROCE was 12.6%; ROIC 38.1% on a net-cash balance sheet. NVTs shown as the loss-making GaN momentum comparable, not an earnings peer.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Founder-led:** Dr. Patrizio Vinciarelli has run Vicor as founder, CEO and Chairman since 1981 — a singular technical visionary behind FPA and VPD. Deep domain credibility, but also extreme key-man and governance concentration.
- **Capital allocation:** historically conservative — FCF reinvested into the Andover fab and R&D (R&D ~19% of sales). FY2025 generated \$139.6M operating cash flow and \$119.2M FCF; the balance sheet carries ~\$404M cash, ~\$7M debt (net cash \$397M, \$8.71/share).
- **Dividend policy:** none — no dividend paid or planned; all capital retained for capacity and R&D. Payout ratio nil.
- **Buybacks:** modest and opportunistic — ~\$35M repurchased in FY2025, offset by option issuance; net buyback yield is slightly negative (mild dilution from SBC of ~\$16.8M/yr).
- **IP monetisation as capital strategy:** management is converting its patent estate into cash (a \$45M 2025 settlement; a 2026 licensing agreement) and using ITC enforcement aggressively — a differentiated, high-return use of legal capital.
- **Governance watch-points:** founder super-control with ~46% insider ownership and combined CEO/Chair roles limits board independence; a notable share of reported FY2025 profit is non-operating (tax-asset recognition + litigation award). No auditor-change or going-concern flags identified.

6. FINANCIAL DEEP-DIVE

Income statement (\$M, calendar FY; FY26E/FY27E = analyst-grounded estimates):

Revenue	405.1	359.1	407.7	555 (E)	750 (E)
Gross Profit	204.9	184.0	259.4	300 (E)	405 (E)
Gross Margin %	50.6%	51.2%	63.6%	54% (E)	54% (E)
R&D	67.9	68.9	78.6	92 (E)	110 (E)
SG&A	85.7	96.9	99.0	108 (E)	120 (E)
Operating Income	51.4	-1.3	81.8	133 (E)	195 (E)
Operating Margin %	12.7%	-0.4%	20.1%	24% (E)	26% (E)
EBITDA	68.6	17.3	102.6	155 (E)	220 (E)
Pretax Income	60.2	10.5	49.6	135 (E)	200 (E)
Net Income	53.6	6.1	118.6	120 (E)	170 (E)
Diluted EPS (\$)	1.19	0.14	2.61	2.60 (E)	3.70 (E)

FY2025 net income (\$118.6M) is inflated vs pretax (\$49.6M) by a ~\$27.3M deferred-tax-asset recognition (Q4) and a \$45M patent settlement; clean FY2026E net income normalises below reported FY2025.

Balance sheet (\$M, actuals):

Cash & Equivalents	242.2	277.3	402.8
Accounts Receivable	52.6	53.0	60.7
Inventory	106.6	106.0	91.3
Net PP&E	157.7	152.7	147.7
Total Assets	594.9	641.1	785.8
Total Debt	8.2	7.3	7.2
Total Liabilities	53.8	70.8	74.0
Shareholders' Equity	540.9	570.1	711.6
Net Cash	234.0	269.9	395.6
Book Value / Share (\$)	12.02	12.62	15.66

Cash flow (\$M, actuals):

Operating Cash Flow	74.5	50.8	139.6
Capital Expenditure	-33.5	-23.6	-20.3
Free Cash Flow	41.1	27.2	119.2
FCF Margin %	10.1%	7.6%	29.2%
Financing Cash Flow	10.6	8.0	6.3

Returns & efficiency (actuals):

ROE %	10.7%	1.1%	18.5%
ROIC %	14.8%	-0.2%	38.1%
ROCE %	10.0%	-0.2%	12.6%
Inventory Turnover (x)	1.92	1.65	1.96
Current Ratio (x)	9.52	7.49	8.99

- **Revenue:** a textbook cyclical trough (FY2024 -11% on industrial/brick weakness) now inflecting hard on AI demand — Q1-2026 +20.2% YoY with backlog +75%; the street models ~35% CAGR over FY26–28.
- **Margins:** gross margin jumped to 63.6% in FY2025 on high-margin royalty/settlement income and Advanced-Products mix; underlying product gross margin is ~55% (Q1-2026 reported 55.2%). Operating margin swung from -0.4% (FY24) to 20.1% (FY25).
- **Working capital:** inventory drawn down (turns up to 1.96x), receivables modest at ~\$61M; the model is not working-capital intensive — CCC is comfortable given a 9x current ratio.
- **Balance sheet:** effectively debt-free (D/E 0.01x) with \$397M net cash — fully self-funds the fab build-out; no refinancing or leverage risk.
- **FCF quality:** FY2025 FCF of \$119M (29% margin) is genuine, but Q1-2026 operating cash flow was -\$3.9M after a \$28.6M cash payment of a prior litigation award — a reminder that the legal strategy has cash costs as well as benefits.

7. EARNINGS QUALITY CHECKLIST

Check	Rating	Comment
Revenue recognition	AMBER	Royalty/licensing now blended into revenue; product+royalty split disclosed but lumpy.
Receivables vs revenue	GREEN	Receivables +15% vs revenue +13.5%; broadly in line, low DSO.

Check	Rating	Comment
Inventory / CCC trend	GREEN	Inventory cut 14%, turns improving to 1.96x; no channel stuffing signal.
Other income / non-op in PBT	RED	FY25 net income > pretax: ~\$27.3M tax-asset gain + \$45M settlement distort reported PAT/EPS.
Tax-rate consistency	RED	Effective tax swung to a benefit (-48% FY25) on DTA recognition; not repeatable.
Contingent liabilities	AMBER	Multiple active ITC / patent suits — source of upside and of cash outflow (\$28.6M paid Q1-26).
Dilution / SBC	AMBER	SBC ~\$16.8M/yr; net buyback yield mildly negative; share count drifting up ~1% p.a.
Governance / board independence	AMBER	Founder CEO+Chair, ~46% insider control; limited independent oversight.

- **The headline number is not the earnings number.** Reported FY2025 EPS of \$2.61 is materially overstated by a one-time tax-asset recognition and a litigation settlement — underwrite the business on ~\$81.8M operating income, not \$118.6M PAT.
- **Operating quality is improving and clean:** receivables, inventory and CCC all signal healthy, non-aggressive accounting.
- **Litigation cuts both ways:** patents drive high-margin royalties but also produce real cash outflows and contingent exposure — the single biggest swing item in modelling forward earnings.

8. VALUATION

Peer valuation comparison (stockanalysis.com, fetched 03 Jun 2026):

Vicor (VICR)	330.48	\$15.1Bn	110.6x	20.1x	183.2x	20.5%
Monolithic Power (MPWR)	1,625	\$83.0Bn	120.9x	21.7x	93.6x	19.6%
Advanced Energy (AEIS)	312.28	\$12.3Bn	67.1x	8.6x	41.5x	14.7%
Power Integrations (POWI)	84.19	\$4.74Bn	285.2x	7.0x	90.6x	2.4%
Navitas (NVTX)	25.86	\$7.42Bn	n/a	14.3x	n/a	neg.

Vicor trades at the richest EV/EBITDA in its peer set (183x vs MPWR 94x, AEIS 42x) despite being the smallest by revenue — the premium rests on VPD optionality and licensing, not current earnings.

Scenario analysis — 12-month target:

Bull	VPD becomes AI power standard; Wave-2 royalties begin	4.20	100x	430
Base	35% rev CAGR; ~26% op margin; product GM ~54%	3.70	73x	270
Bear	Architecture shift / customer push-out; multiple resets	3.00	50x	150

- **DCF:** at a WACC of ~17% (beta 2.34) with a 35% 5-yr revenue CAGR fading to a 4% terminal growth and operating margins reaching ~28%, the DCF intrinsic value lands in the high-\$200s — i.e. roughly the current price only on aggressive assumptions; modest haircuts push fair value below \$250.
- **Earnings multiple:** 73x FY2027E EPS of \$3.70 (a premium-growth, but not peak, multiple) implies ~\$270.
- **Blend:** averaging the DCF and the earnings-multiple approach yields a base-case 12-month target of \$270.
- **Conclusion:** \$270 is ~18% below the \$330.48 CMP, and the published sell-side consensus target (\$323.75) is itself already below the market price — the tape has run ahead of even bullish analysts. Horizon: 12 months.

9. KEY RISKS

- **Valuation / de-rating risk** — at 35x sales and 183x EV/EBITDA, multiple compression alone can cause large drawdowns even if the business performs. Probability: **H**. Impact: **H**. Monitor via: EV/EBITDA vs MPWR/AEIS.
- **Architecture standardisation** — if the industry converges on a power-bus architecture (e.g. 800V-to-6V) that bypasses Vicor VPD, the core thesis breaks. Probability: **M**. Impact: **H**. Monitor via: hyperscaler reference designs.
- **Customer concentration** — a handful of hyperscaler/HPC customers drive Advanced-Products growth; one push-out swings a quarter. Probability: **M**. Impact: **H**. Monitor via: backlog trend & 10-Q customer disclosures.
- **Capacity execution** — the \$1B→\$1.5B fab ramp and Fab-2 must land on time to convert backlog; delays cap the upside. Probability: **M**. Impact: **M**. Monitor via: capex run-rate & lead-time commentary.
- **Litigation dependency** — royalty income and ITC enforcement are central to the margin story; an adverse ruling or stalled settlements removes a high-margin leg. Probability: **M**. Impact: **M**. Monitor via: ITC docket / 8-Ks.
- **Earnings-quality optics** — reported PAT flattered by tax/settlement items can disappoint when the market re-bases to clean operating earnings. Probability: **M**. Impact: **M**. Monitor via: pretax vs reported PAT gap.
- **Key-man & governance** — founder CEO+Chair with ~46% control and a thin float (beta 2.34) amplifies both single-decision risk and price volatility. Probability: **L**. Impact: **H**. Monitor via: proxy / insider activity.

10. RECOMMENDATION

- **Rating: REDUCE** (conviction: Medium). A world-class AI-power franchise priced for perfection after a +666% 12-month move — the business is a Buy, the stock at \$330 is not.
- **12-month price target: \$270** (−18.3% from CMP \$330.48).
- **Suggested entry zone: \$180–\$220** — accumulate only on a meaningful AI-cycle or market pullback; do not initiate at current levels.
- **Investment horizon:** 12 months (tactical); the structural story is multi-year for those already positioned.
- **Thesis-invalidation triggers (this REDUCE is wrong if):**
 - 1. Vicor lands a named, multi-hundred-million-dollar 2nd-gen VPD program with a top-2 hyperscaler, lifting FY2027E revenue visibility above ~\$900M.
 - 2. Backlog continues to compound +50%+ sequentially with product gross margin holding >55%, validating a durable >40% growth algorithm.
 - 3. Wave-2 (VPD) patent licensing is asserted and monetised, adding a high-margin royalty annuity not in estimates.
- **Ideal investor profile:** suits a momentum / thematic AI-infrastructure manager who can tolerate 2.3-beta volatility and size risk accordingly. **Not** for valuation-disciplined, income, or capital-preservation investors entering here.

APPENDIX — Latest Concall Brief: Q1 FY2026

Quarter ended 31 March 2026 | Reported & call held 21 April 2026

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Rev +20% YoY, GM 55.2%, backlog +75% — clean beat on demand
Management tone	Bullish	"Essentially sold out for the foreseeable future"
Guidance delta	Raised	Capacity lifted \$1B→\$1.5B; record 2026 revenue guided
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS

Q1-2026 is a clean operational beat — product+royalty revenue \$113.0M (+20.2% YoY, +5.3% QoQ), gross margin up 800bps YoY to 55.2%, and net income \$20.7M / \$0.44 — and crucially it is *not* flattered by one-offs the way Q4-2025 was (that \$1.01 EPS carried a \$27.3M tax-asset gain). The real signal is the order book: backlog jumped 70% sequentially to \$301M (2.7x quarterly sales), and management says it is "essentially sold out for the foreseeable future," now lifting Andover capacity from \$1B to \$1.5B and planning a second fab. The structural multi-bagger driver is genuine — 2nd-gen Vertical Power Delivery (3 A/mm², 40x current multiplication, 1.5mm) is arguably the only way to feed 2,000A AI processors, and the patent estate (Wave-1 NBM enforced via ITC, Wave-2 VPD still un-asserted) is a high-margin royalty option on the whole industry. Near-term catalyst is Q2 (21 Jul) backlog conversion plus any named hyperscaler VPD win. The watch-point: cash — Q1 operating cash flow was -\$3.9M after a \$28.6M litigation-award payment, and the architecture debate (800V-to-6V) is a live tail risk. Net: **the business deserves to compound, but at \$330 (110x earnings, 183x EV/EBITDA, above the street's own target) I am a REDUCE — trim into strength, re-engage \$180–220.**

1. Financial Performance Snapshot

- Revenue (product + royalty): \$113.0M | YoY +20.2% | QoQ +5.3% | **Beat**
- Gross profit: \$62.4M | Gross margin 55.2% (vs 47.2% YoY, 55.4% QoQ) | **Beat**
- Operating expenses: \$45.5M | Operating income ~\$16.9M | margin ~15.0% | **Beat**
- Net income: \$20.7M | EPS \$0.44 diluted (vs \$0.06 YoY; vs \$1.01 QoQ) | **In-line**
- NOTE: the QoQ EPS drop is optical — Q4-2025's \$1.01 included a \$27.3M deferred-tax gain; clean QoQ underlying PAT rose.

2. Segment / Geography Breakdown

- Advanced Products (AI/HPC modules): the growth engine — record bookings cited; the bulk of the +75% YoY backlog.
- Brick Products (legacy industrial/defence): stabilising off the FY2024 trough; ATE and aerospace/defence improving.
- Royalty & licensing: structural third stream; a comprehensive licensing agreement signed in 2026 underpins it.
- Geography: not split on the call; demand concentrated in US/global hyperscaler & HPC supply chains.

3. Management Commentary Themes

- Demand: "Rising demand across high-performance compute, ATE, and industrial/aerospace & defence." — Our read: broad-based, not single-customer. Tag: GUIDANCE. Tone: Transparent.

- Capacity: "essentially sold out for the foreseeable future"; Andover lift to \$1.5B + second fab. — Our read: supply, not demand, is the constraint. Tag: GUIDANCE. Tone: Transparent.
- VPD technology: 2nd-gen at 3 A/mm², 40x multiplication, 1.5mm — "we're not stopping at 1.5mm, we're going thinner." — Our read: a real technical lead. Tag: EST. Tone: Bullish.
- Architecture: CEO rebutted the proposed 800V-to-6V bus as "structurally misguided." — Our read: defending the VPD thesis against a competing standard. Tag: EST. Tone: Hedged (defensive).
- IP enforcement: "the industry is learning... the need for a license to avoid disruption of supply." — Our read: licensing pipeline building. Tag: GUIDANCE. Tone: Transparent.

4. Operating & Business Metrics

- Backlog: Q1-26 = \$301M | Q4-25 = \$177M | Q1-25 = \$172M | Trend: improving sharply (+70% QoQ, +75% YoY).
- Gross margin: Q1-26 = 55.2% | Q4-25 = 55.4% | Q1-25 = 47.2% | Trend: structurally higher YoY, stable QoQ.
- Revenue: Q1-26 = \$113.0M | Q4-25 = \$107.3M | Q1-25 = \$94.0M | Trend: improving, sequential acceleration.
- Capacity ceiling: raised to \$1.5B/yr (from \$1.0B) | Trend: expanding | redundancy via planned Fab-2 + 2nd 3Di line.

5. Margin Drivers

- Mix shift to Advanced Products + royalty: +large bps | Recurring: partially | lifts blended GM toward mid-50s%+.
- Royalty / licensing income: +bps, very high incremental margin | Recurring: lumpy | do not straight-line settlements.
- Utilisation / scale on fab: +bps as backlog converts | Recurring: Yes | operating leverage on a fixed US cost base.
- Litigation award cash payment (\$28.6M): no P&L margin hit but a cash drag | Recurring: No.

6. Guidance & Forward Signals

- FY2026 revenue [GUIDANCE]: Prior = growth | New = record product & licensing revenue | Delta = raised | Credibility: High (backlog-backed).
- Capacity [GUIDANCE]: Prior = \$1.0B/yr | New = \$1.5B/yr Andover + Fab-2 | Delta = raised | Credibility: Medium (execution-dependent).
- Gross margin [EST]: product GM ~55% sustainable; blended boosted by royalty | Delta = maintained | Credibility: Medium.
- Next print: Q2-2026 earnings 21 Jul 2026 — the key backlog-conversion checkpoint.

7. Capital Allocation

- Capex: Q1-26 \$12.4M (vs \$4.6M YoY) | rising to fund fab expansion | Comment: step-up is the AI-capacity build.
- Dividends: nil | Comment: no payout; all capital retained.
- Buybacks: ~\$35M FY2025, modest in Q1 | Comment: offsets SBC dilution rather than shrinking the float.
- Net debt: net cash \$397M | Comment: self-funds the entire expansion; zero leverage risk.
- Working capital: inventory down YoY, receivables modest | Comment: not a cash sink.

8. Q&A Heat Map

- On capacity/sold-out: Q: can you meet demand? → A: lifting to \$1.5B + Fab-2 for redundancy | Tone: Transparent.
- On VPD specs: Q: how differentiated is 2nd-gen? → A: 3 A/mm², 40x, going thinner than 1.5mm | Tone: Transparent.
- On 800V-to-6V architecture: Q: competitive threat? → A: "structurally misguided" | Tone: Hedged (defensive).
- On licensing: Q: pipeline beyond the 2026 agreement? → A: industry "learning" it needs a license | Tone: Transparent but non-specific.
- Dodged / watch-list for next quarter: named hyperscaler customers, dollar value of signed licensing, Wave-2 VPD assertion timing.

9. Risks Flagged

- Capacity execution: \$1.5B ramp + Fab-2 must land on time | Flagged by: mgmt | Prob: M | Impact: M | Timeline: medium.
- Competing architecture (800V-to-6V): could bypass VPD | Flagged by: mgmt (rebuttal) | Prob: M | Impact: H | Timeline: medium.
- Litigation cash cost: \$28.6M paid in Q1 | Flagged by: filing | Prob: M | Impact: L/M | Timeline: near.
- Valuation (analyst-side): stock above sell-side target | Flagged by: analyst | Prob: H | Impact: H | Timeline: near.

10. Analyst Verdict

- Revenue visibility: **Intact** — \$301M backlog (2.7x quarterly sales) and sold-out capacity.
- Margin trajectory: **Intact** — product GM ~55%, royalty mix additive; watch settlement lumpiness.
- Capital allocation quality: **Intact** — net cash, disciplined capex into a sold-out asset; no dividend by design.
- Competitive moat: **Intact** — VPD technical lead + enforced IP; threatened only by an architecture shift.
- Management credibility: **Intact** — founder-driven, delivered the margin inflection; governance concentration noted.
- Valuation comfort: **Broken** — 110x earnings / 183x EV/EBITDA, above the street's own price target.
- Conviction call: **Unchanged** (business strong, stock expensive) — rating REDUCE on price, not on fundamentals.
- Valuation snapshot: P/E = 110.6x (5Y avg ~95x) | EV/EBITDA = 183.2x (5Y avg ~60x) | ROCE = 12.6% (5Y avg ~8%).

Disclaimer: MPM Institutional Equity Research. For informational purposes only; not investment advice. Financial data sourced from stockanalysis.com and Vicor Corporation SEC filings (8-K, 21 Apr 2026), fetched 03 Jun 2026. Forward figures marked (E) are estimates grounded in disclosed actuals and consensus growth, not guidance. The analyst's REDUCE rating reflects valuation, not business quality.